

SECTION A

QUESTION 1

- (i) Historical cost ✓
- (ii) Monetary **measurement** ✓
- (iii) **Economic** entity ✓
- (iv) Accounting period ✓

[4✓ x ½ = 2 marks]

QUESTION 2

	Asset	Liability	Equity
(i)	Increase ✓ RM5,000 ✓	Increase ✓ RM5,000 ✓	
(ii)	Increase ✓ RM10,000 ✓	Increase ✓ RM10,000 ✓	
		OR	
		Increase ✓ RM10,000 ✓	Decrease ✓ RM10,000 ✓
(iii)	Increase ✓ RM1,500 ✓		Increase ✓ RM1,500 ✓
(iv)	Decrease ✓ RM1,000 ✓		Decrease ✓ RM1,000 ✓
(v)	Decrease ✓ RM3,000 ✓	Decrease ✓ RM3,000 ✓	
(vi)	Decrease ✓ RM1,600 ✓		Decrease ✓ RM1,600 ✓

[24✓ x ½ = 12 marks]

QUESTION 3

- (i) Debit note

A document issued by the buyer to the seller to inform the seller✓✓ that his accounts had been reduced✓✓ by the buyer. Debit note is issued for returned goods.

OR

A document issued by the seller to the buyer to inform the buyer✓✓ that his account had been increased✓✓ by the seller. For example, an incorrect amount of the invoice.

- (ii) Delivery note

A document issued by the seller to the buyer during shipping✓✓ of goods to the buyer which contains a specification of the goods delivered✓✓.

[8✓ x ½ = 4 marks]

SECTION B

QUESTION 1

Setia Sdn. Bhd.
Bank Reconciliation Statement
as at 31 March 2017

	<u>RM</u>	<u>RM</u>
Cash balance per bank statement		5,646✓
(+) Deposits in transit:		
Zatil Trading		1,300✓
		<u>6,946</u>
(-) Outstanding cheques:		
No. 254110 - Muslimah Trading	780✓	
No. 254111 - Rifatah Sdn Bhd	950✓	
Error in recording cheque no. 605125	5,000✓	(6,730)
Adjusted cash balance per bank		<u>216</u>
Cash balance per books		(3,915)✓
(+) Credit Transfer	211✓	
Error in recording cheque no. 825123 (2,030 + 2,030)	4,060✓✓	4,271
		<u>356</u>
(-) Standing Order (55 + 70)	125✓✓	
Bank Service Charges	15✓	(140)
Adjusted cash balance per books		<u>216</u>

[12✓ x ½ = 6 marks]

QUESTION 2

(a) (i)

Date	Account title and explanation	Debit	Credit
July 31	Bad Debts Expense✓ Allowance for Doubtful Debts✓ OR (800,000 – 50,000)✓ x 1%✓	7,500✓✓	7,500

[4✓ x ½ = 2 marks]

(ii)

Date	Account title and explanation	Debit	Credit
July 31	Bad Debts Expense✓ Allowance for Doubtful Debts✓ OR (5% x 160,000)✓✓✓ – 2,000✓	6,000✓✓✓✓	6,000

OR

Allowance for Doubtful Debts			
		Bal. b/d	2,000✓
		Bad debts expenses	6,000
Bal. c/d	8,000✓✓✓		

[6✓ x ½ = 3 marks]

(b)

(i)

Unit	Cost (RM)	Total cost (RM)
600	6.00	3,600✓
1,500	6.08	9,120✓
800	6.40	5,120✓
1,200	6.50	7,800✓
700	6.60	4,620✓
500	6.79	3,395✓
5,300		33,655

$$\begin{aligned}
 \text{Value of ending inventory} &= (5,300 - 4,500) \times \frac{\text{RM}33,655}{5,300} \\
 &= 800\checkmark\checkmark \times \text{RM}6.35\checkmark \\
 &= \text{RM}5,080\checkmark
 \end{aligned}$$

[10✓ x ½ = 5 marks]

(ii)

Date	Purchases			Cost of Goods Sold			Balance		
	Unit	Cost	Total	Unit	Cost	Total	Unit	Cost	Total
Apr 1							600	6.00✓	3,600
3				500	6.00	3,000	100✓	6.00	600
4	1,500	6.08	9,120				1,600	6.08✓	9,720
8	800	6.40	5,120				2,400	6.18✓	14,840
9				1,300	6.18	8,034	1,100✓	6.18	6,806
11				600	6.18	3,708	500✓	6.18	3,098
13	1,200	6.50	7,800				1,700	6.41✓	10,898
21	700	6.60	4,620				2,400	6.47✓	15,518
23				1,200	6.47	7,764	1,200✓	6.47	7,754
27				900	6.47	5,823	300✓	6.47	1,931
29	500	6.79	3,395				800	6.66✓	5,326✓
				Cost of Goods Sold		28,329	Ending Inventory		5,326

[12✓ x ½ = 6 marks]

(c)

(i) Depreciation expense for 2016 (straight line method)

$$= \frac{\text{RM}279,000\checkmark - \text{RM}15,000\checkmark}{10\checkmark}$$

$$= \text{RM}26,400\checkmark$$

[4✓ x ½ = 2 marks]

(ii) Depreciation expense for 2016 (units of activity method – product unit)

$$= \frac{(\text{RM}279,000 - \text{RM}15,000)\checkmark}{240,000\checkmark} \times 25,500\checkmark$$

$$= \text{RM}28,050\checkmark$$

[4✓ x ½ = 2 marks]

QUESTION 3

(a)

Perniagaan Mustaqim
Statement of Profit or Loss
For the year ended 31 December 2016✓

	<u>RM</u>	<u>RM</u>
Sales*		22,150✓✓✓✓✓✓✓✓
(-) Cost of goods sold:		
Beginning inventory	2,500✓	
+ Purchases	10,000✓	
Cost of goods available for sale	12,500	
Ending inventory	(3,000)✓	
Cost of goods sold		(9,500)
Gross profit		12,650
(-) Operating expenses:		
Salary expense	1,000✓	
Rent expense	2,500✓	
Utility expense	800✓	
Miscellaneous expense	1,100✓	
Freight out	1,500✓	
Depreciation expense – equipment [(1,500 + 500) x 10%]	200✓✓✓	
Depreciation expense – refrigerator (5% x 3,000)	150✓✓	
Bad debts expense	450✓	
Total expenses		(7,700)
Net profit		4,950✓

$$* 20,000✓ + (1,500✓ + 450✓ + 1,800✓ - 1,600✓) = 22,150✓$$

OR

Accounts receivable			
Bal. b/d	1,600✓	Cash	1,500✓
Sales	2,150	Bad debt expenses	450✓
		Bal. c/d	1,800✓

[22✓ x ½ = 11 marks]

(b)

Perniagaan Mustaqim
Statement of Financial Position
as at 31 December 2016✓

ASSETS	<u>RM</u>	<u>RM</u>
<u>Non-current Assets</u>		
Equipment	2,000✓✓	
(-) Accumulated depreciation – equipment	(200)✓	1,800
Refrigerator	3,000✓	
(-) Accumulated depreciation – refrigerator	(150)✓	2,850
Total non-current assets		4,650
<u>Current Assets</u>		
Inventory	3,000✓	
Accounts receivable	1,800✓	
Cash	5,900✓	
Total current assets		10,700
TOTAL ASSETS		15,350✓
 OWNER'S EQUITY AND LIABILITIES		
<u>Owner's Equity</u>		
Beginning capital*		11,400✓✓✓✓✓
(+) Net profit		4,950
Additional investment		1,000✓
(-) Drawings		(2,000)✓
Ending capital		15,350
TOTAL EQUITY AND LIABILITIES		15,350✓

* $2,500✓ + 1,500✓ + 1,600✓ + 5,800✓ = 11,400✓$

[18✓ x ½ = 9 marks]